Code No. 3412

OSMANIA UNIVERSITY
FACULTY OF ENGINEERING
UNIVERSITY COLLEGE OF ENGINEERING (AUTONOMOUS)
B.E. (Mech,CSE,Mining) IV-Semester (MAIN) Examinations July-2025

MANAGERIAL ECONOMICS AND ACCOUNTANCY

Time : 3 hours **Max. Marks : 60**

Note : *i) Answer **Question No. 1** (Compulsory) and answer any **four questions** from the remaining questions (2- 7). Each question caries 12 marks.*
ii) Answers must be written in same order as they occur in the Question Paper.
*iii) **Missing data, if any may suitably be assumed.***

			Marks	BT	CO
1.	a)	Define Managerial Economics.	2	1	1
	b)	What is Price demand?	2	2	2
	c)	State about the Monopoly market.	2	1	3
	d)	Give out the formula for the Margin of safety.	2	2	3
	e)	Restate the seasonal working capital along with a suitable example.	2	1	4
	f)	What is a Journal?	2	2	5
2.	a)	Analyze the basic concepts of managerial economics.	8	4	1
	b)	What are production and price decisions?	4	2	1
3.	a)	What are the exceptional cases of the law of Demand?	6	3	2
	b)	Why does the Price demand curve slope downward only? Explain the reasons behind it.	6	4	2
4.	a)	Explain the Iso-Quant production function and the equilibrium of the firm.	8	2	3
	b)	Write a note on the Cobb-Douglas production function.	4	2	3

$Q = A L^{\alpha} C^{\beta}$

5. Calculate NPV and Profitability Index for the following Proposal When the discount Rate is 12%. 12

Details of the Proposal:

Investment:	Rs.30,000
Scrap value:	Rs.2,000
Life of Investment:	5 years

Year	Cash-inflow after taxes
1	20,000
2	10,000
3	5,000
4	3,000
5	20,000

The above cash inflows are after depreciation and after taxes.

Note: PV at 12% ~~are~~

0.893, 0.797, 0.712, 0.636, 0.567

6. Calculate the P/V ratio, BEP and Margin of Safety from the following details. 12

Sales:	Rs.4.00,000,
Fixed cost:	Rs. 1,00,000 and
Variable cost:	Rs. 2,90,000

7. a) Journalise the following transactions in the books of Amrutha. 2012 6 3 5

Jan 1	Amrutha commenced business with cash Rs.50,000
Jan 2	Purchased goods for cash Rs.10,000
Jan 3	Purchased goods from Mohan Rs.6,000
Jan 7	Paid into bank Rs.5,000
Jan 10	Purchased furniture Rs.2000
Jan 20	Sold goods to Suresh on credit Rs.5,000
Jan 25	Cash sales Rs. 3,500
Jan 26	Paid to Mohan on account Rs.3,000
Jan 31	Paid salaries Rs.2,800

b) Examine the conventions of accountancy in detail. 6 3 5

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